

Applied Optoelectronic (AAOI)

\$98.21 (Stock Price as of 03/27/2026)

Price Target (6-12 Months): **\$127.00**

Long Term: 6-12 Months	Zacks Recommendation:	Neutral
	(Since: 01/08/21)	
	Prior Recommendation: Underperform	
Short Term: 1-3 Months	Zacks Rank: (1-5)	3-Hold
	Zacks Style Scores:	VGM: F
	Value: F	Growth: F
		Momentum: B

Summary

Applied Optoelectronics stands at the intersection of an AI-driven optical upgrade cycle and a resilient CATV franchise. AAOI points to a multi-year 800G ramp that should become the main data-center driver as qualifications and U.S. capacity come online, while CATV demand tied to DOCSIS upgrades helps stabilize margins. Vertical integration and a Texas footprint reduce supply and policy risk and support margin goals. AAOI expects to generate revenues of more than \$1 billion in 2026 based on these factors. Offsetting these positives, near-term revenues are gated by interoperability work and production capacity. Dependence on a few hyperscalers, mix headwinds in data-center products, and higher capex and tariff uncertainty lift execution risk. Profitability should improve with scale, but timing remains sensitive to order flow and customer qualifications./<

Data Overview

52 Week High-Low	\$128.96 - \$9.71
20 Day Average Volume (sh)	14,394,651
Market Cap	\$7.4 B
YTD Price Change	181.7%
Beta	3.20
Dividend / Div Yld	\$0.00 / 0.0%
Industry	Electronics - Semiconductors
Zacks Industry Rank	Top 34% (84 out of 244)

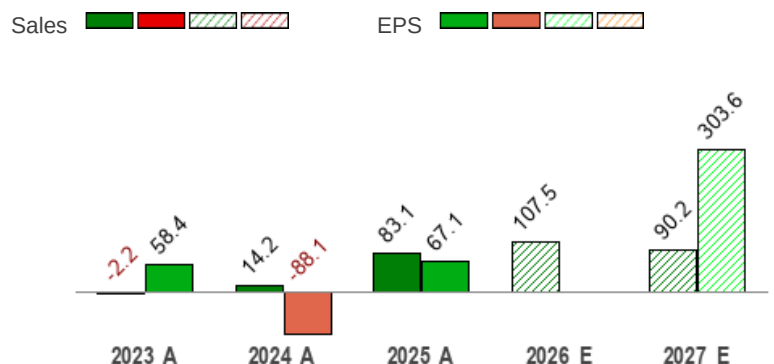
Last EPS Surprise	91.7%
Last Sales Surprise	-0.1%
EPS F1 Est- 4 week change	69.8%
Expected Report Date	05/14/2026
Earnings ESP	25.0%

P/E TTM	NA
P/E F1	116.9
PEG F1	0.4
P/S TTM	16.2

Price, Consensus & Surprise⁽¹⁾



Sales and EPS Growth Rates (Y/Y %)⁽¹⁾



Sales Estimates (millions of \$)⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	337 E	430 E	514 E	517 E	1,799 E
2026	156 E	200 E	250 E	340 E	946 E
2025	100 A	103 A	119 A	134 A	456 A

EPS Estimates⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	0.51 E	0.80 E	1.05 E	1.04 E	3.39 E
2026	-0.05 E	0.09 E	0.26 E	0.55 E	0.84 E
2025	-0.02 A	-0.16 A	-0.09 A	-0.01 A	-0.26 A

*Quarterly figures may not add up to annual.

(1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 03/27/2026.

(2) The report's text and the price target are as of 03/11/2026.

Overview

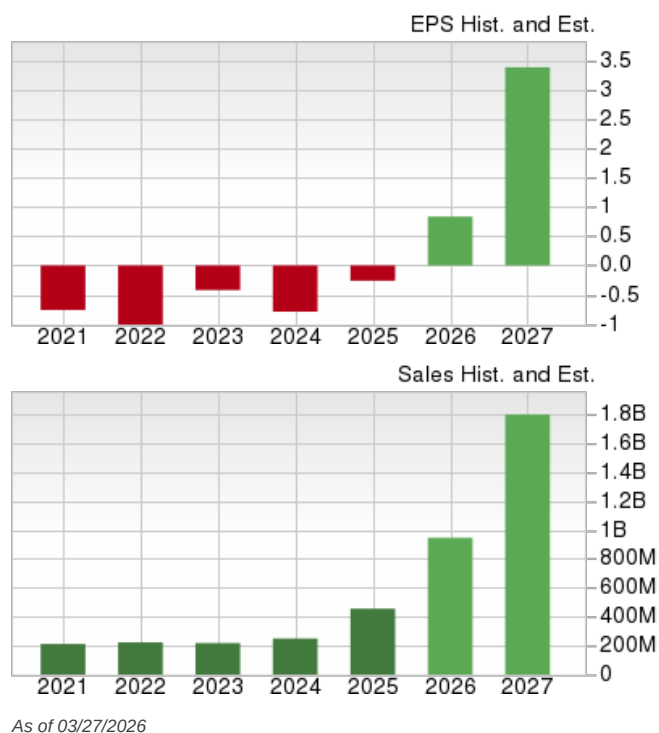
Applied Optoelectronics, Inc. designs and manufactures fiber-optic networking products for internet data centers, cable television, telecommunications and fiber-to-the-home end markets. The company is vertically integrated, beginning with lasers and laser components and building up to optical modules and complete equipment. The company manufactures most of the laser chips and optical components used in its own products. Applied Optoelectronics is headquartered in Sugar Land, TX, and maintains manufacturing and R&D operations in the United States, Taiwan and China.

The company's product portfolio spans components, subassemblies, modules and equipment. Transceivers are sold into data center, telecom and FTTH applications. CATV products include transmitters, nodes, amplifiers and related outdoor equipment, which incorporate the company's optical and mixed-signal RF design capabilities.

The business targets higher-performance segments that require faster connectivity as data rates advance, including 800 Gbps interconnects in the data center. Demand is supported by cloud computing, video traffic, network-connected devices and the shift to open data center architectures. In CATV, operators are upgrading networks to higher bandwidth and expanding return-path capacity. In telecom and FTTH, deployments reflect continued investment in high-speed fiber networks and passive optical network systems.

In 2025, total revenues were \$455.7 million, which jumped 82.8% from 2024. CATV contributed 53.8%, while Data center products contributed 42.9%. Telecom products contributed 3.0% while FTTH and other contributed 0.3% of 2025 revenues. Customer concentration has been notable and shifted with end-market mix. In 2025, Digicomm accounted for 53.1% of revenues, while Microsoft accounted for 28.8% of revenues.

AAOI faces competition from the likes of Coherent, Intel and Lumentum, among others, in the markets it currently operates.



Reasons To Buy:

- ▲ Applied Optoelectronics' operating scale and earnings trajectory are improving. In the fourth quarter of 2025, the company delivered record revenues and above-guidance gross margin, entering 2026 with momentum. For 2026, AAOI targets more than \$1 billion of revenues and over \$120 million of non-GAAP operating profit, with sustainable non-GAAP profitability beginning in the second quarter of 2026. For the first quarter of 2026, AAOI guides to \$150-\$165 million of revenues and 29-31% of gross margin, with sequential growth in data center and CATV. The cadence accelerates in the second half as capacity and qualifications come online. 800G becomes the largest data center line in the second quarter of 2025, with 1.6T expected to contribute later in 2026. This path supports operating leverage as the mix and volume improve.
- ▲ Structural AI spending is accelerating optical upgrades, and fourth-quarter 2025 commentary points to a multi-year 800G ramp that outstrips supply. AAOI management expects 800G to become the largest data center revenue line beginning in second-quarter 2026, with forecast demand projected to exceed production capacity through mid-2027. By year-end 2026, capability is targeted at more than 500,000 pieces per month across 800G and 1.6T, and an illustrative capacity-constrained transceiver revenue potential near mid-2027 underscores the scale. Multiple hyperscalers are engaged and firmware interoperability completion is targeted for March 2026 to unlock volume. This demand-backed trajectory, gated primarily by capacity, implies sustained growth for Applied Optoelectronics as new lines, qualifications and U.S. output come online.
- ▲ CATV provides a second growth engine and a margin stabilizer. In 2025, CATV revenues nearly tripled to \$245 million, supported by DOCSIS 4.0 deployments, and management expects continued strength into 2026. Near term, first-quarter 2026 CATV revenues are guided to \$61 million to \$67 million with expanding margins. For 2026, Applied Optoelectronics described it as feasible to approach nearly \$300 million, with most from 1.8 GHz amplifiers and initial Quantum Link software. This steady CATV cadence complements the data center ramp and offsets near-term data center mix headwinds, supporting the transition to sustainable non-GAAP profitability beginning in second-quarter 2026 and providing earnings resilience as 800G scales.
- ▲ Vertical integration and U.S. manufacturing de-risk supply, costs and policy exposure. Less than 10% of 800G and 1.6T component value is sourced from China as of fourth-quarter 2025, and AAOI plans to more than triple Texas laser capacity by mid-2027, including a new Sugar Land facility scaling by mid-to-late 2026. Full qualification of additional 800G products in Texas is targeted by mid-2026, enabling an increase in U.S. shipments through 2026. Management is also analyzing potential IEEPA-related tariff refunds. Coupled with automated lines and in-house lasers, this footprint supports the long-term goal of approximately 40% non-GAAP gross margin and the transceiver gross-margin milestones laid out for 2027.

AI-led upgrades, 800G ramp, CATV strength and U.S. manufacturing underpin durable, margin-expanding growth with visibility for Applied Optoelectronics.

Reasons To Sell:

- ▼ Hyperscaler concentration and order timing elevate volatility for AAOI. Management expects two large hyperscalers to dominate data center revenues in 2026, with three customers at more than 10% for the year. The ramp also depends on order timing, with expectations for very large near-term 800G and 1.6T orders, while production and supply remain the gating factors. Revenues are recorded net of approximately 2.5% contra-revenues for certain customers due to warrants, and telecom remains lumpy. First-quarter 2026 still guides to a non-GAAP net loss. Any deferral of hyperscaler orders, qualification milestones, or mix shifts could lead to quarter-to-quarter swings and below-plan results during the transition.
- ▼ Margin normalization lags amid a mix of headwinds and ramp learning curves. First-quarter 2026 gross margin is guided to 29% to 31%, with mix headwinds from data center products flagged in the next few quarters. Management expects sustainable non-GAAP profitability beginning only in second-quarter 2026, and the company's long-term gross margin objective of roughly 40% and transceiver-only milestones are framed for 2027, not 2026. Operating expenses are expected between \$50 million and \$57 million per quarter on a go-forward basis. If the 800G ramp introduces yield or learning-curve inefficiencies, margins could be slower to normalize, narrowing the cushion to the 2026 operating profit objective.
- ▼ Capital intensity and tariff uncertainty pressure free cash and flexibility. Management is evaluating the 2026 capex plan while executing on a multi-year expansion that includes more than tripling Texas laser manufacturing capacity by mid-2027, with the AAOI CEO referencing a \$300 million Texas investment to support the scale-up. In fourth-quarter 2025, tariffs impacted the income statement by about \$1.2 million and capital equipment by approximately \$3.1 million, and tariff policy remains fluid. While potential IEEPA-related refunds are being analyzed, AAOI does not expect them to be transformational. Combined, these factors raise funding and execution demands during the ramp, pressuring free cash and flexibility.
- ▼ Capacity and interoperability remain the near-term governors of revenues. In fourth-quarter 2025, 800G shipments were below \$4 million due to ongoing firmware work needed for interoperability across multiple platforms at a large hyperscaler, with completion targeted for mid-March 2026. Applied Optoelectronics repeatedly notes that 2026 revenues are constrained by production capacity, supply chain and manpower, not demand. Year-end 2025 800G capacity was about 90,000 units per month versus a 100,000 target, and first-quarter 2026 still carries a non-GAAP net loss guide. Any slippage in firmware finalization, customer qualifications or capacity additions would delay the data center mix shift and push out margin expansion.

Capacity constraints, hyperscaler concentration, mix headwinds and capital needs threaten AAOI's near-term profitability and execution stability.

Last Earnings Report

Key Highlights

- Revenues: \$134.3 million in Q4 2025, up 34% year over year.
- Adjusted Loss: 1 cent per share compared with 2 cents in the year-ago quarter.
- Cash Balance: \$216 million at the end of fourth-quarter 2025.
- Capital Investments: \$84 million in Q4 2025 and \$209 million in 2025.

FY Quarter Ending **12/31/2025**

Earnings Reporting Date	Feb 26, 2026
Sales Surprise	-0.05%
EPS Surprise	91.67%
Quarterly EPS	-0.01
Annual EPS (TTM)	-0.28

AAOI Posts Narrower Loss in Q4, Revenues Rise Y/Y

Applied Optoelectronics reported fourth-quarter 2025 non-GAAP loss of 1 cent per share, which beat the Zacks Consensus Estimate by 91.67%. The company reported a loss of 2 cents per share in the year-ago quarter.

Revenues of \$134.3 million were roughly in line with the Zacks Consensus Estimate. The figure appreciated 34% year over year.

Data center revenues increased 69% year over year to \$74.9 million, with strength in 400G. However, 800G shipments were below \$4 million due to ongoing firmware interoperability work with a large hyperscaler, with completion targeted for mid-March 2026. Management expects 800G to become the largest individual data center revenue line beginning in second-quarter 2026, with the step-function ramp starting as firmware finalization unlocks volume.

CATV revenues were \$54.0 million, up 3% year over year but down sequentially from a record third-quarter 2025, supported by 1.8 GHz amplifier deployments at the largest MSO and growing traction with additional MSOs. Telecom and other increased to \$5.4 million, up roughly 41% year over year off a small base.

AAOI Operating Details

Fourth-quarter 2025 gross margin on a non-GAAP basis was 31.4%, which expanded 250 basis points (bps) year over year. Adjusted EBITDA margin contracted 190 bps to 0.5%.

General & administrative expenses increased 40% year over year to \$20.7 million. Research & development expenses were \$25.8 million, up 54.5% year over year. Sales & marketing expenses soared 89% year over year to \$6.9 million.

GAAP operating loss was \$11.5 million compared with \$6.5 million reported in the year-ago quarter.

AAOI's Balance Sheet Details

As of Dec. 31, 2025, Applied Optoelectronics had cash and cash equivalents of \$216.4 million compared with \$150.7 million at the end of the third quarter of 2025.

In the fourth quarter, AAOI totaled \$84 million in capital investments primarily due to manufacturing capacity expansion for its 400G and 800G transceiver products. In 2025, AAOI spent a total of \$209 million in capital investments.

AAOI Offers Positive Guidance

For the first quarter of 2026, Applied Optoelectronics guided revenues between \$150 million and \$165 million. Non-GAAP gross margin is expected in the 29-31% range. CATV revenues are expected at \$61-\$67 million. Non-GAAP net loss is expected between \$7 million and \$0.3 million, or a loss of 9 cents per share to breakeven.

For 2026, management outlined an outlook of "over \$1 billion" revenues and "over \$120 million" non-GAAP operating profit, with sustainable non-GAAP profitability beginning in the second quarter of 2026.

At year-end 2025, 800G capacity was roughly 90,000 units per month (31% U.S.-based), with the company targeting a capability of more than 500,000 pieces per month of 800G and 1.6T combined by year-end 2026, roughly one-quarter from Texas.

Recent News

On Feb. 13, Applied Optoelectronics announced that it held a groundbreaking ceremony on Feb. 10, for its new 210,000 square foot manufacturing facility located at 1111 Gillingham St. in Sugar Land, TX.

On Dec. 18, AAOI announced a new 400-milliwatt narrow-linewidth pump laser designed to meet growing demand for silicon photonics and co-packaged optics ("CPO") in AI data centers.

On Dec. 10, AAOI announced that it received the first volume order for 800G data center transceivers from a major hyperscale customer to support the AI data center growth.

Valuation

Applied Optoelectronics shares have risen 295.3% over the past three months and 632.5% over the past year. Stocks in the Zacks sub-industry are up 0.9% over the past three months, while stocks in the Zacks Computer and Technology sector are down 1.9% over the same period. Over the past year, the Zacks sub-industry and sector are up 67.1% and 34.7%, respectively.

The S&P 500 index is down 1.9% over the past three months and 24.2% over the past year.

The stock trades at 8.17X forward 12-month sales, compared with 7.71X for the Zacks sub-industry, 6.18X for the Zacks Computer and Technology sector, and 5.04X for the S&P 500 index. Over the past five years, the shares have traded as high as 10.12X and as low as 0.16X, with a 5-year median of 0.94X.

Our Neutral recommendation indicates that the stock will perform in line with the market. Our \$127 price target reflects 8.58X forward 12-month sales.

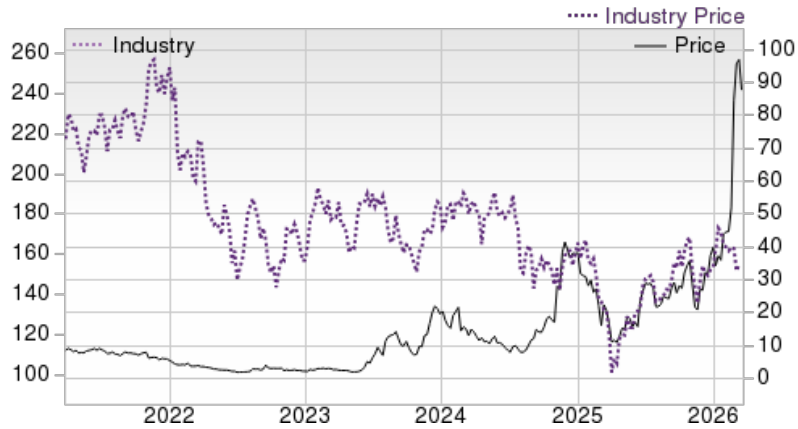
The table below shows summary valuation data for AAOI

Valuation Multiples - AAOI					
		Stock	Sub-Industry	Sector	S&P 500
P/S F12M	Current	8.17	7.71	6.18	5.04
	5-Year High	10.12	9.83	7.41	5.63
	5-Year Low	0.16	3.52	4.33	3.82
	5-Year Median	0.94	6.09	6.3	5.07
P/B TTM	Current	11.21	10.93	9.26	7.96
	5-Year High	11.21	14.25	11.77	9.15
	5-Year Low	0.19	5.75	6.64	6.59
	5-Year Median	1.69	8.67	9.75	8.09
EV/Sales TTM	Current	17.58	12.43	7.41	5.51
	5-Year High	17.58	14.57	8.42	5.83
	5-Year Low	0.00	3.97	4.23	3.77
	5-Year Median	1.29	7.36	6.9	5.12

As of 03/10/2026

Source: Zacks Investment Research

Industry Analysis⁽¹⁾ Zacks Industry Rank: Top 34% (84 out of 244)



Top Peers⁽¹⁾

Company (Ticker)	Rec	Rank
Credo Technology Gro...(CRDO)	Outperform	1
Lattice Semiconducto...(LSCC)	Outperform	2
Ambarella, Inc. (AMBA)	Neutral	2
indie Semiconductor,...(INDI)	Neutral	3
nLight (LASR)	Neutral	4
Alpha and Omega Semi...(AOSL)	Underperform	4
Impinj, Inc. (PI)	Underperform	4
SkyWater Technology,...(SKYT)	Underperform	5

Industry Comparison⁽¹⁾ Industry: Electronics - Semiconductors

	AAOI	X Industry	S&P 500	AMBA	CRDO	SKYT
Zacks Recommendation (Long Term)	Neutral	-	-	Neutral	Outperform	Underperform
Zacks Rank (Short Term)	3	-	-	2	1	5
VGM Score	F	-	-	C	D	F
Market Cap	7.39 B	1.91 B	38.90 B	2.21 B	17.57 B	1.30 B
# of Analysts	3	3	22	7	6	1
Dividend Yield	0.00%	0.00%	1.52%	0.00%	0.00%	0.00%
Value Score	F	-	-	F	F	F
Cash/Price	0.03	0.12	0.04	0.13	0.07	0.02
EV/EBITDA	-441.49	9.09	13.42	-20.75	211.77	8.90
PEG Ratio	0.41	1.93	1.76	2.21	NA	NA
Price/Book (P/B)	9.14	3.85	3.29	3.72	9.50	6.69
Price/Cash Flow (P/CF)	3,942.28	24.66	13.72	NA	215.66	45.39
P/E (F1)	116.92	33.38	17.87	68.33	28.88	NA
Price/Sales (P/S)	16.21	6.13	3.01	5.66	16.45	2.93
Earnings Yield	0.86%	1.76%	5.59%	1.47%	3.46%	-0.96%
Debt/Equity	0.18	0.03	0.56	0.00	0.00	0.17
Cash Flow (\$/share)	0.02	0.47	9.62	-1.06	0.44	0.59
Growth Score	F	-	-	A	B	F
Hist. EPS Growth (3-5 yrs)	NA%	-6.20%	7.51%	NA	NA	NA
Proj. EPS Growth (F1/F0)	NA%	29.86%	9.87%	19.35%	371.43%	NA
Curr. Cash Flow Growth	-107.42%	-3.13%	7.92%	-47.43%	-802.08%	93.81%
Hist. Cash Flow Growth (3-5 yrs)	17.38%	5.66%	8.87%	NA	88.61%	104.18%
Current Ratio	2.63	2.71	1.19	2.31	10.81	0.60
Debt/Capital	15.03%	11.37%	38.05%	0.00%	0.00%	14.40%
Net Margin	-8.39%	-2.28%	12.73%	-19.42%	31.81%	26.90%
Return on Equity	-5.29%	4.56%	17.16%	-12.16%	29.63%	-6.89%
Sales/Assets	0.51	0.49	0.53	0.53	0.82	0.81
Proj. Sales Growth (F1/F0)	107.50%	9.80%	5.59%	13.00%	203.90%	36.90%
Momentum Score	A	-	-	A	A	C
Daily Price Chg	0.81%	-2.82%	-1.67%	-4.18%	-1.24%	-3.12%
1 Week Price Chg	-9.58%	-2.46%	-3.60%	3.31%	-12.14%	0.33%
4 Week Price Chg	82.92%	-10.85%	-7.82%	-28.81%	-16.81%	-12.42%
12 Week Price Chg	181.73%	11.31%	-6.96%	-28.75%	-33.81%	48.68%
52 Week Price Chg	452.36%	28.15%	11.87%	-4.21%	124.46%	259.04%
20 Day Average Volume	14,394,651	1,015,395	3,196,808	1,062,868	8,362,501	1,015,395
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 4 week change	69.83%	0.00%	0.00%	35.67%	8.56%	-5.00%
(F1) EPS Est 12 week change	69.83%	0.00%	0.47%	35.67%	27.60%	-5.00%
(Q1) EPS Est Mthly Chg	6.06%	0.00%	0.00%	31.99%	9.79%	-9.09%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	F
Growth Score	F
Momentum Score	A
VGM Score	F

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

Disclosure

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